ORDER SHEET

IN THE ISLAMABAD HIGH COURT, ISLAMABAD.
JUDICIAL DEPARTMENT.

RFA No.59-2012
Zaheem Shaukat Qureshi
Vs.
Standard Chartered Bank (Pakistan) Limited & Another

RFA No.60-2012
Adeel Shaukat Qureshi
Vs.
Standard Chartered Bank (Pakistan) Limited & Another

W.P. No.1713-2018
Zaheem Shaukat Qureshi
Vs.
Standard Chartered Bank (Pakistan) Limited & Another

S. No. of order/ proceedings	Date of order/ Proceedings	Order with signature of Judge and that of parties or counsel where necessary.
	13.11.2024	M/s Mian Abdur Rauf, Waqar Ahmed, Bilal Shehzad and Saeed Afzal, Advocates for appellants in RFA Nos.59 & 60-2012. Ms. Aliya Zareen Abbasi, Advocate for Standard Chartered Bank (Pakistan) Limited. **AAMER FAROOQ C.J.** This order shall dispose of above appeal as well RFA No.60-2012 and W.P. No.1713-2018, as they arise out of judgment dated 18.10.2012 and decree dated 19.10.2012 passed by this Court in COS No.03-2008, whereby suit filed by the respondent Bank was decreed in its favour and against the

appellants. In W.P. No.1713-2018, the petitioner has challenged order dated 20.02.2017, whereby the Judge, Banking Court, proceeded to auction the property in question.

2. The facts, in brief, are that at the request of Zaheem Shaukat Qureshim Standard Chartered Bank (Pakistan) Limited/respondent granted Rs.50,000,000/- as Home Finance Facility, which was secured by the mortgage of House No.56, Street No.01, Sector F-6/3, Islamabad. The referred Facility was secured by the appellant in RFA No.60-2012. Apparently, the appellant defaulted in repayment of Finance Facility, which led to filing of suit for recovery by the respondent Bank. The referred suit was in the sum of Rs.53,957,564.95 along with mark up. Appellant did file application for leave to defend but the same were dismissed and the suit of the respondent Bank was decreed vide judgment dated 18.10.2012 and decree dated 19.10.2012 in the sum of Rs.53,957,564.95 along with cost of funds and mark up, therefore, execution proceedings commenced, in which, mortgaged property was ordered to

be auctioned, hence the appeals and writ petition.

3. Learned counsel for the appellants/petitioner *inter alia* contended that suit of the respondent Bank was not in accordance with law. In this regard, it was submitted that there is no proper statement of account which is *sine qua non* for filing a suit under section 9 of Financial Institutions (Recovery of Finances) Ordinance, 2001 (the Ordinance). It was contended that even-otherwise, no plausible claim is made out towards the appellants.

4. Learned counsel for the respondent Bank *inter alia* contended that leave applications filed by the appellants were barred by limitation inasmuch as service was effected through all modes, but the applications were not filed within thirty days as required under the law, hence they were dismissed and since applications were dismissed, consequently, the suit of the respondent Bank was decreed in its favour under section 10(12) of the Ordinance.

5. Submissions made by the parties have been heard and the documents, placed on record, examined with their able assistance.

6. The background, leading to filing of appeals and writ petition, is mentioned hereinabove.

7. It is reflected from the record that summons were ordered to be issued on the appellants through all modes as prescribed in sections 9 & 10 of the Ordinance and as a result thereof, applications for leave to defend were filed by defendant Nos.1 & 2. As noted, applications for leave to defend filed by the defendant/appellant were dismissed on the ground of limitation. In this regard, observations have been made in the impugned judgment that the service was effected upon the defendants through bailiff on 03.12.2008 as well as through newspapers on 04.12.2008 and through registered A.D. on 01.12.2008, whereas applications for leave to defend the suit were filed on 09.01.2009. The impugned order elaborately deals with the issue of limitation in paras No.25 & 26 of the impugned judgment, which are reproduced below for ease of convenience;-

> *"25. Report of Bailiff on notice/summon reveals that the back of one copy of summon/notice alongwith copy of plaint was handed over to Muhammad Ilyas, Clerk of Zaheem Shaukat Qureshi in his office situated at Office No.12, 13, Plot No.103, M/s Nice Flour Mills, Golden Plaza, Blue Area, Islamabad, on 03.12.2008. Service through publication in two daily newspapers i.e. "Daily The News" and "Daily Nawa-e-Waqt was effected on 04.12.2008 and the application in hand was filed on 09.01.2009. According to section 10(2) of Financial*

Institutions (Recovery of finances) Ordinance, 2001, "the application for leave to defend shall be filed within thirty days of the date of first service by any one of the modes laid down in sub-section 5 of Section 9". As per record, defendant No.1 was served firstly on 03.12.2008 and secondly on 04.12.2008, while the application was filed on 09.01.2009, which is itself barred by time. As per record, defendant No.1 has not filed any application for condonation of delay. It has been declared under Section 9(5) of the Ordinance that service in any of the modes shall be deemed to be valid service for the purpose of the Ordinance.

26. Defendant No.2 also filed application for leave to defend the suit as well as application for condonation of delay under section 5 of Limitation Act, 1908, on 15.5.2012. Perusal of record reveals that as per report of Bailiff, one copy of summon/notice alongwith copy of plaint was handed over to Muhammad Ilyas, Clerk of Zaheem Shaukat Qureshi and Adeel Shaukat Qureshi in their office situated at Office No.12, 13, Plot No.103, M/s Nice Flour Mills, Golden Plaza, Blue Area, Islamabad, on 03.12.2008. Service through publication in two daily newspapers i.e. "Daily The News" and "Daily Nawa-e-Waqt" was effected on 04.12.2008 and the application in hand was filed on 15.05.2009. Alongwith the application for leave to defend the suit, application for condonation of delay did not contain any justifiable reason for condoning the delay as there was no explanation for the delay of every day. The principle governing is vigilance not indolence and in view of another principle that each and every day of the delay has to be explained by the parties concern. Since, the defendant or their counsel have never sworn any affidavit to that extent as to when they acquired knowledge, therefore, such ignorance cannot be treated as an excuse of treating this application within time. Therefore, both the applications for leave to defend the suit are dismissed as time barred. Consequently, the suit of the plaintiff is decreed against the defendant with cost in the sum of Rs53,957,564.95 alongwith costs of funds at the prevailing rate fixed by the State Bank of Pakistan from the date of default till realization. Such decree is to be executed, inter alia by the sale of mortgaged properties and hypothecated stocks, if any. Office is directed to prepare the decree sheet immediately. The suit is converted into execution proceedings under Section 19(1) of Financial Institutions (Recovery of Finances) Ordinance, 2001 and the decretal amount shall be recovered through execution of decree in accordance with the provision of Code of Civil Procedure or any other law for the time being enforced or such manner as the Court order on the request of the decree holder consider appropriate, including recovery as arrear of land revenue. Execution proceedings are entrusted to Additional Registration (Judicial) in view of Section 11 of Sindh Chief Court Rules, who shall exercise powers vested under Section-11 ibid".

8. Learned counsel for the appellants was unable to show that reasoning or facts mentioned in the impugned judgment are, in any way, defective and that leave applications were within prescribed time, hence no occasion is made out to interfere with the impugned reasoning. However, learned trial court, while passing judgment and decree, ought to have proceeded with the caution and examined whether the suit was filed within the mandate of section 9 of the Ordinance and relevant documents reflected the liability towards the appellants, which accordingly, has not been done.

9. As noted above, since the auction proceedings have commenced, the subject matter of challenge in W.P. No.1713-2018, which would become infructuous, if judgment and decree is set aside.

10. In view of above, instant appeals are partially allowed and the impugned judgment and decree is set aside and the matter is remanded to the Banking Court; consequently, the suit filed by Respondent Bank, shall be deemed to be pending before learned trial court and respondent Bank shall assist the trial court as to the liability of defendants towards Standard

Chartered Bank Limited, however, leave applications filed by the defendants shall remain dismissed.

11. Since impugned judgment and decree has been set aside, W.P. No.1713-2018 has become infructuous and is disposed of accordingly.

(SAMAN RAFAT IMTIAZ)
JUDGE

(CHIEF JUSTICE)

Zawar